

Chapter 12

Exploring Solutions to Globalization Challenges



The world will never stop changing and challenges to existing institutions and orders will always arise. As current shifts in global power evolve and develop, it is the role of observers and decision-makers at all levels to contribute solutions to the challenges that we face both as individual nations and as a world as a whole.

While every government, community, family, and individual faces a range of challenges that range from the mundane to the existential, there are some challenges that affect everyone equally. Today, these include changes to our climate that are resulting in more frequent and more destructive natural phenomena, the very real threat of pandemics and other public health crises that spread faster because of our increasingly connected world, as well as the as yet unknown threat of emerging technologies like artificial intelligence.

For China's part, as an emerging and increasingly influential member of the global community, the answer has always been, and remains, engagement, communication, and cooperation that spans the Global North and Global South, East and West, as well as developed and developing nations. The needs and strengths of all corners of the world are interconnected, affecting all of us. This was why China decided to open up and reform in the late 1970s, why it came back to the United Nations, why it joined the World Trade Organization, and why it continues to engage through new and innovative platforms like the Paris Agreement, the CPTPP, the Shanghai Cooperation Organization, and its own Belt and Road Initiative.

Perhaps one of the most salient examples of how China faces these challenges is in its response to the COVID-19 pandemic, which was imperfect but well suited to its own unique situation. Strict lockdowns that were rigorously enforced and contact tracing that leveraged its technological strengths, a zero-COVID policy that ensured numbers were kept low and an industrial refitting movement that ensured personal protective equipment and vaccines were produced quickly—all of these measures helped to save countless lives because they limited the spread of the disease, but their strictness and duration meant that China was cut off from the world more completely and for longer than many other countries.

However, the speed and drive with which China recovered was equally as impressive, and, unlike many other countries, China has continued to advocate for continued globalization and free trade despite the bout of protectionism that has appeared in many developed economies. Instead of forging security alliances, China sees trade as a core solution to the world's current problems while at the same time ensuring its continued growth and development, whether in terms of integrating economies so that governments think twice about engaging in military conflict or in terms of its leading position in developing and manufacturing green technologies that have the potential to stave off destructive climate change.

In this final chapter of the book, we explore actionable solutions to some of the key problems that face the world today, focusing on how China's policies and approaches can contribute to resolving them, ultimately working with the rest of the world to usher in an innovative form of economic globalization that could reshape the world order to the benefit of all.

The Path to Solutions Is Paved with Dialogue

This chapter begins by reiterating China's willingness to address the concerns of the United States, but as stated in the next article, titled "Dialogue, Not Disruption, Must Define Trade's Future," the United States must make the first move to begin this conversation, which very well may lead to breakthroughs as well as new areas of cooperation. Solutions cannot be found in a vacuum and must be explored through open and practical discussion. The ball is now in the United States' court.

The second article in this chapter, titled "Green Power Leadership: Why China Can Lead the Climate Revolution" examines the unavoidable trend of a green transition in technology and China's advanced capabilities in this era, discussing not whether China will become a leader, but whether it can sell the world on its technological advances. The third article in this chapter, titled "Leveraging China's Green Transition to Mitigate Global Climate Change," zooms in on this topic, focusing on China's specific core advantages in finding a solution to climate change. China's technological advancements in green technology give it the unique ability to provide inexpensive and effective solutions for countries that are determined to make the transition to a zero-carbon future.

Moving on to the people factor, the next article in this chapter turns to the flow of talent, which can be a boon to developing countries, not only in terms of attracting talent needed for development, but also in terms of creating understanding and preempting problems that are created through misunderstanding and misinformation. The next article in this chapter, titled "China's Visa-Free Initiative Shows It Is Choosing Openness over Isolation," emphasizes how China is truly working to become more open and accessible to the world. By providing visa-free programs to as many as 47 countries by June 2025, China is betting that by making it easier to travel to the country and increasing people-to-people exchanges, China will enhance its global image by enabling the world to experience China first-hand.

Moving on, in terms of global trade, one major concern has been that China is flooding the world with goods, and the United States has been extremely vocal about China's so-called "overcapacity." The fifth article in this chapter, titled "US

Concern about China's Overcapacity Is a Non-Issue," looks at the issue of China revolutionizing the market with a range of products, especially new energy vehicles and batteries. And how it should be viewed in the broader context of cooperation on climate change as well as the levers China and partners can bring to the table in terms of green technologies.

Sometimes there seems to be no end to the sources of tension in the China-US relationship, something that makes finding solutions to wider global issues a monumental task. In order to ensure the continuation of the prosperity that globalization has brought the world thus far, the next article in this chapter, titled "China-EU Cooperation Is Needed to Safeguard Globalization's Future," argues that the most crucial players in making this happen might be China and the EU. As the two largest economic powers after the United States, cooperation between China and Europe could create the conditions that ensure the next phase of globalization is as prosperous as the last one.

Finding a New Model for Development

The next article in this chapter, titled "A New Form of Economic Globalization to Reshape the World Order," reinforces the same theme from another perspective, discussing how the current model of economic globalization is no longer fit for purpose in today's world. However, far from a wholesale replacement of the current system, the article emphasizes the idea that a new form of globalization could be achieved through the reform of existing institutions and the creation of new ones when necessary. Creating an overall more integrated and structurally up to date form of globalization, it also provides specific recommendations on the reform of the WTO and other global institutions as well as regional frameworks like the currently shelved Comprehensive Agreement on Investment, and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership.

The next article focuses on the contributions that China's Belt and Road Initiative can make to global development in an article titled "The BRI's Role as a Global Public Good Should Be Maximized." The BRI has received generally negative press in the West, but positive feedback from the developing countries that make up the majority of its members. However, it is clear that going forward, the BRI must multilateralize its management and project selection while also linking with other efforts so that it can truly become a global public good.

As a leader of the BRI, China guides trends and the momentum of development for both developing and developed countries. Following the COVID-19 pandemic, China's reopening contributed greatly to global economic recovery, but China's continued opening up in the future will also create opportunities for the world. In the next article, "Five Reasons China's Reopening Is Good News for the Global Economy," we will take a closer look at exactly how China, as one of the world's most influential economies can provide solutions to the challenges facing globalization and a clear pathway toward economic recovery.

In a broader context, the tenth article of this chapter, titled "Could Reshaping the World Order Usher in the Return of Economic Globalization?" looks at the possibility of a "New Bretton Woods" moment in which the world could work together to ensure

economic prosperity and political stability. China's role in this context is one of promoting economic and trade cooperation over security alliances to guard against tension and conflict, and it holds that further integration, and not less, will contribute to a more stable and prosperous world.

Engagement and exchange are key to future solution seeking.

Some solutions to certain problems can have unexpected or undesired side effects. China's response to the COVID-19 pandemic was one of the most comprehensive in the world, which, while incredibly effective in saving lives in a country that could have had the highest fatality rate by far, also resulted in a nearly full stop to global talent flows, from students to skilled professionals to business people. The eleventh article in this chapter, titled "China's Zero-COVID Policy Has Had a Severe Impact on Its Stock of Global Talent," takes a close look at just how much the pandemic affected global talent in China and how the country is working to attract talent back to its shores and ensure that it has the workforce necessary to support its next phase of development.

Part of attracting talent and improving exchange is working within the international framework of agreements specifically trade agreements that set standards and frameworks that promote development. The penultimate article in this chapter focuses on China's bid to join the Comprehensive and Progressive Agreement for Trans-Pacific Partnership, which was led by Japan following the United States backing out of the deal. In "Japan Should Be Open to China Joining the CPTPP," which analyzes the choice facing Japan to link more closely with its biggest neighbor and destination for most of its manufactured goods, or remain close to the United States due to perceived security concerns. One of the advantages of bringing China into the agreement would that China would adhere to the requirements of the agreement leveling the field while further opening its markets to a wider range of global goods.

With a view to becoming a center of talent development and a desirable destination for the world's best talent, China is working to use many of the solutions discussed in this chapter to position itself as both a cultivator and a center of talent. The final article of this chapter, "Ushering in Innovative Policies in China to Embrace Global Talent," outlines specific steps China has made to make working in China more attractive to global professionals, like expanding its "green card" policy and implementing beneficial policies for professionals in certain industries like science and technology.

Dialogue, Not Disruption, Must Define Trade's Future¹

China is ready to engage with the US on equal terms, but the US must make the first move. Dialogue after all is essential to managing US-China trade relations, and progress here could lead to further momentum on other issues that require the cooperation of these two countries.

President Trump entered office this year loudly proclaiming his eagerness to work with China on issues ranging from fentanyl production to TikTok and peace in the world. Today, it seems that we are further away from cooperative solutions and productive dialogue than ever. On April 2, dubbed "Liberation Day" by the White House, the United States announced sweeping tariffs on dozens of countries signaling a return to the most confrontational elements of the Trump administration's policies. While Trump has since drawn back from the brink—announcing a 90 day pause on April 9 for all countries except China with further large carveouts and exceptions coming in on the 11th—these measures alone are not enough. Instead, the White House must consciously choose to reach out to both China and the rest of the world to resolve global issues together.

At the core of the Trump administration's tariffs, there is a fundamental misunderstanding of the nature of trade. The Trump administration remains fixated on bilateral goods deficits as a measure of national decline, but this view ignores the basic structure of the US economy. The United States enjoys one of the world's largest surpluses in services—ranging from finance and consulting to education and intellectual property. It is the global hub for talent, innovation, and capital. Its markets are among the most attractive investment destinations in the world. And the US dollar's status as the world's reserve currency gives Washington tremendous structural advantages few others enjoy. To frame it another way: If you pay a cook for a meal, would it be rational to take time away from your work as a general partner at a finance firm just to make pots and bowls to balance your trade deficit with the cook?

In truth, the only area where the United States runs a consistent trade deficit is in goods manufacturing—and this was never an accident, because the United States has the capacity to print US dollars to buy the goods from world. America also made a deliberate and calculated shift toward a service-driven, high-tech economy. It moved away from low-margin, labor-intensive, and often polluting industries toward sectors that are cleaner, more profitable, and globally dominant. Now the United States treats this shift as a failure and is preparing to rewrite decades of intentional economic policy.

The result is a landscape of global uncertainty. Trump's tariffs treat trade like a ledger to be zeroed out—where exports must match imports and where any imbalance is inherently unfair. Punishing trade partners based on a narrow reading of goods trade that overlooks this broader picture, where the United States has made extraordinary returns as a locus for service trade, investment, and talent.

It's clear, however, that despite all the chaos, Trump wants a deal, and though his views on trade deficits may be quixotic, it was Trump who floated the possibility

¹ This piece was written on April 17, 2025 after the Trump administration imposed tariffs on China.

of reducing restrictions in exchange for more action on fentanyl and raised issues like TikTok's ownership structure as an opening. When tariffs brought concerned representatives from around the world to Washington, the administration celebrated with Trump himself reportedly waiting on a call from China. The Chinese door for discussion and negotiation is wide open, but the United States needs to be willing to engage in good faith and on equal terms, as Chinese Foreign Ministry spokesperson Mao Ning recently reaffirmed.

But China cannot be threatened into dialogue and discussion. While the total volume of China-US trade has increased relative to the period prior to the first trade war in 2018, the importance of the United States as a partner has dropped, from 19.2% of China's total exports in 2018 down to 14.7% in 2024.² China has diversified, and today over 70% of its exports now go to non-G7 nations.³ ASEAN has become China's largest trading partner, and nearly half of China's trade today is with Belt and Road countries. China has also eliminated tariffs on imports from 43 developing nations, reinforcing its position as a partner to the Global South and signaling a continued commitment to open trade.

Further, China's own domestic transformation is in full swing, stimulating domestic consumption, deepening high-quality development through AI and green power, and unleashing new quality productive sources. China still dominates global supply in areas like rare earth minerals, while strategic sectors like semiconductors, electric vehicles, and advanced robotics are now national priorities, which have simultaneously enhanced China's resilience and reduced its dependence on the US market.

China is open to discussion on equal terms. Chinese Vice Premier He Lifeng recently met with former US Secretary of the Treasury Hank Paulson, Bridgewater founder Ray Dalio and Emeritus Chairman of the Brookings Institution and Asia Society John Thornton. But if the United States wants to move things forward, ie, as the initiator in this trade war, needs to reach out to China now rather than attempting to browbeat China with threats that serve only to roil and disrupt global markets.

Take, for instance, previous dialogues between US-China cooperation on fentanyl during the Biden administration, after which Fentanyl-related deaths in the United States dropped by 27% in 2024; a steep decline born of increased cooperation with China.⁴ If Trump wants to continue this cooperation, then he could choose to engage with China and provide clear intelligence on supply chains and trafficking routes, so Chinese authorities can in turn take further action. As former Commerce Secretary Gina Raimondo recently stated, China and the United States can solve the fentanyl crisis together. That should be the goal—not more tariffs, but real meetings and solutions.

² CSIS, "China and the Impact of 'Liberation Day' Tariffs," *Critical Questions*, April 4, 2025.

³ Dexter Tiff Roberts, "China is ready to 'eat bitterness' in the trade war. What about the US?" Atlantic Council, April 10, 2025.

⁴ Vanda Felbab-Brown, "US-China relations and fentanyl and precursor cooperation in 2024," Brookings, February 29, 2024.

Furthermore, Chinese businesses have not been shy about investment in the United States with Chinese direct investment reaching nearly 84 billion dollars by the end of 2023, and with prospects for a rekindled dialogue and cooperation bringing the opportunities for more.⁵ This mirrors how, in the 1980s and 1990s, Japan eased trade frictions with the United States by increasing investment in American manufacturing and infrastructure. The same approach could work again. Facilitating Chinese investment in job-creating industries would not only benefit local economies—it would also offer a pragmatic way to balance trade without further damaging the rules-based system.

In an increasingly unsettled world that is nevertheless more connected than ever, strong dialogue and close cooperation between China and the United States is an increasingly vital pillar of not just global trade, but for the global good; for the sake of all mankind, the United States should reciprocate in good faith. As President Trump himself said in December, “China and the United States can together solve all the problems of the world.” On issues from Ukraine and Palestine to climate change and global health, the two countries have overlapping interests and the potential for real cooperation. A stable US-China relationship is not only in the interest of both sides—it is a foundation for global peace.

The irony of this approach is that the United States, in attempting to rebalance its trade, is isolating itself. Countries like Germany, Japan, South Korea, India, and the key ASEAN economies seek stable trade relationships. China's role as a champion of openness is becoming more prominent, and if the United States does not rise to the occasion, it may find itself no longer setting the rules but reacting to them.

President Trump promises to make America “great again,” but tariffs alone will not achieve that. What is needed now is not confrontation but open-handed coordination; not walls, but bridges. Trade is not a weapon. It is a tool for shared prosperity. And it must be protected—for the sake of both our nations and for the world.

⁵ The State Council Information Office of the People's Republic of China, “China's Position on Some Issues Concerning China-US Economic and Trade Relations,” White Papers, April 9, 2025.

Green Power Leadership: Why China Can Lead the Climate Revolution⁶

As green transition becomes one of the defining technological trends of the 21st century, the question is not whether China is leading the world but whether it can sell its climate leadership fast enough to build a better future for all.

The New York Times columnist Thomas Friedman wrote in 2007 that “green is the new red, white and blue,” arguing it the United States could cement its tech leadership through clean technology. However, the ensuing decades have seen US political dysfunction turn it on its head. Now in 2025, he argues that US President Donald Trump’s “big, beautiful bill” will only “make China great again.”

It’s not hard to see why he might think that. There is an intimate connection between generation capacity and national economic output. In a world driven by increasingly energy-hungry AI models, large digital infrastructure outlays, and traditional industrial processes, abandoning the cheapest form of energy generation yet discovered to defend legacy interests in fossil fuels seems foolish.

It has been a truism since the beginning of the 2020s that, per dollar spent on capacity, renewables now beat fossil fuels on price, and renewables are not dependent on a continuous stream of outside fuel at fluctuating prices.

In that challenge lies opportunity. In a world plagued by climate instability, energy insecurity, and economic uncertainty, the next global leader will be crowned not by war or wealth but by capability and capacity. Delivering on clean energy at scale will be the leading edge upon which these are determined, and China is positioning itself at the center of this transformation. It is becoming the world’s largest producer of solar panels and electric vehicles and underwriting a green revolution that could redefine global governance.

As economic historian Adam Tooze recently pointed out during a dialogue at the Center for China and Globalization, China has effectively ignited a green energy revolution, forging capacity where there was once only framework and far-off dreams of substitution. In 2023 alone, China installed more solar capacity than the entire world did the previous year, and it’s driving down the prices of installations elsewhere.

The cost of solar has dropped to just 11 cents per watt of capacity in 2024. As Tooze said, “Because that dominance—and it is dominance—of so many areas of production, very high quality, very high flexibility, and integration across the entire supply chain and reasonable cost, means that it’s difficult for other people to imagine their economic future.”

Just as steam power helped usher in the British Empire and the transistor catalyzed American technological leadership, today green power is laying the groundwork for China to contribute to the next phase of global leadership. Unlike earlier industrial revolutions, the green transition, by its nature must be collaborative, inclusive, and global in scope.

⁶ First published by SCMP on June 26, 2025 and revised for this collection.

Climate change is, after all, a problem that threatens us all regardless of borders, especially in the world's least developed regions. In these places, new installations will build out capacity that previously never existed.

Global governance must evolve to reflect this shared future. If China can help lead the world to curb climate change, we will not only contribute to stabilizing the planet but also help write a new chapter in the architecture of international cooperation.

The transition is already bearing domestic fruit. China is moving from a state-led, subsidy-heavy model to a more efficient, market-driven green economy. Photovoltaic subsidies were phased out as the industry matured, allowing technological improvements and economies of scale to drive solar adoption on merit alone. Electric vehicle (EV) subsidies are being phased out, pushing domestic carmakers toward a renewed focus on innovation, quality and global competitiveness.

Yet China's competitiveness also poses a problem. To fight climate change, we must overcome a growing trust gap. China's rise up the value chain has already begun to displace incumbents in developed economies in areas such as automotive manufacturing, but displacement need not be the logic of China's rise.

To anchor itself and support the green transition, China must build trust through action and do so in a way that does not deprive local economies of opportunity. It will need to continually embrace a global "going out" strategy, one that is "in the world, for the world" by tangibly investing in foreign markets to expand the capability of Chinese business and spread the rewards of economic integration.

The world can benefit from endeavors such as LONGi Green Energy's joint venture in solar manufacturing in Ohio and BYD's first EV plant in Thailand. Chinese-built transmission lines, for example, can bridge solar farms in North Africa to power grids in Europe.

Of course, there will be resistance from entrenched interests and legacy industries. But for ordinary people around the world and governments seeking affordable power, the sooner the world's green transition, the better.

If the nineteenth century belonged to steam and the twentieth to silicon, the twenty-first will belong to those who master the green transition. The question is not whether China is leading this revolution. The real question is whether China can sell the world on its climate leadership fast enough to build a better, more sustainable future for all.

Leveraging China's Green Transition to Mitigate Global Climate Change⁷

Despite increased resistance to green technology and products, the opportunity presented by the challenges of global climate change should not be underestimated and China has the potential to drive a mutually beneficial green transition.

The year 2024 marked the hottest year ever recorded, highlighting the urgent need for enhanced efforts in new energy production globally. Despite government initiatives across the globe, significant shortages in new energy capacity and investment persist. As one of the leaders in the global green transition, China has significantly transformed its climate policies, transitioning from a passive role in global climate governance to taking a proactive leadership position in addressing climate change. This green transition offers numerous benefits both within China and globally. To leverage China's green transition for the mitigation of global climate change, the international community should take advantage of the advances China has made, for the benefit of the world as a whole.

The Destructive Effects of Climate Change

The continuous rise in global temperature exacerbates extreme weather events and has profound effects on global economic and social stability. Climate change has significantly disrupted major industries ranging from agriculture and energy to infrastructure and global supply chains, with particularly severe consequences for developing countries that rely heavily upon natural resources to support their economies. On the human scale, food security is under a dual threat from rising temperatures and extreme weather; while supply chains are frequently disrupted, and infrastructure is often damaged, further fuelling the precarious state of the global economy.

Severe Shortages in New Energy Capacity and Investment

Despite worldwide governmental initiatives, significant shortages in new energy capacity and investment persist. The International Energy Agency (IEA) calls for an annual investment of \$4.5 trillion in green energy, but in 2023, only a fraction of the proposed amount was spent—a mere \$1.3 trillion. The large gap between demand and actual progress highlights the urgency and necessity of developing cost-effective products, improving on resource allocation to increase efficiency, and advancing in technology to accelerate progress. Solar panels present immense growth potential as they are a key tool in combating global climate change, with the IEA forecasting that global demand for new photovoltaic installations will reach 820 gigawatts. Yet

⁷ First published on May 7, 2025 by *Global Solutions Journal* Issue 11 and revised for this collection.

again, in 2022, production capacity was still insufficient, meeting only one-quarter of that target—far from overcapacity. Similarly, the electric vehicle (EV) market grew exponentially in 2023, with global EV sales rising by 35% year-on-year. However, while global demand for EVs is projected to reach 30 million units by 2027, China exported only 1.2 million EVs in 2023, underscoring a severe supply shortage.

This shortage primarily affects developing countries, whose transition to a low-carbon economy and efforts to combat climate change require urgent funding and technological support from the international community. It is for this reason that countries should promote the use of and trade in green technology and products through an open and inclusive international trading system rather than politicizing climate issues to serve economic interests. Any policies that hinder the global transition to a green economy, especially excessive trade restrictions, will stifle global climate cooperation and weaken the world's collective power to respond to climate change.

China's Progress Toward a Green Transition

In recent years, China's climate policies have undergone a significant transformation, shifting from passive participation in global climate governance to taking on a leadership role in combating climate change. President Xi Jinping launched the Global Development Initiative at the United Nations General Assembly, emphasizing the need to accelerate the transition to a green, low-carbon economy and achieve green recovery and development, while also improving global environmental governance to actively respond to climate change.

China has not only committed to peaking carbon emissions by 2030 and reaching carbon neutrality by 2060, but it is also advancing cooperation in international green development through the Belt and Road Initiative (BRI) and other channels. By actively participating in international climate agreements and promoting sustainable trade, China has gradually come to the forefront of global climate governance. Former Vice Minister of Commerce and former WTO Deputy Director-General Yi Xiaozhun recently highlighted at a seminar at WTO headquarters that China's green policies not only have profound impacts on its domestic economy but also provide significant momentum for a global green transition.

Currently, while coal remains China's dominant energy source, the country is actively reducing its reliance on coal by significantly expanding renewable energy and nuclear power. According to China's 14th Five-Year Plan (2021–2025), the total installed capacity of renewable energy, such as wind and solar power, is expected to exceed 1.2 billion kilowatts by 2030, making clean energy a core component of China's future energy structure.

China has also invested heavily in advancing renewable energy technologies, EV technology, smart grids, energy storage systems, and other environmentally friendly technologies. Looking to create a market ecosystem around carbon reduction, China's nationwide carbon trading market aims to use market mechanisms to incentivize

businesses to reduce their carbon emissions and drive high-emissions industries to accelerate technological upgrades and the transition to greener practices. Furthermore, China is actively promoting the development of “new infrastructure,” including 5G, artificial intelligence, and the Internet of Things, which, through widespread application, will improve energy efficiency and reduce its carbon footprint.

China’s Green Transition Is Becoming More Market-Driven than Government-Led

As Yi Xiaozhun emphasized, China’s green transition is driven more by market competition and technological innovation than by reliance on government subsidies. He noted that the success of China’s renewable energy industry is based not on long-term government subsidies but rather on fostering market competition, rapid technological innovation, and leveraging its massive market.

China’s national carbon emissions trading market is a market-based mechanism that ensures transparency and fairness in carbon trading. It not only helps China control its total carbon emissions, but also safeguards fair competition in international trade, providing a more equitable environment for Chinese enterprises to engage in global markets. These measures enable China to implement a green economic transition while also maintaining the stability of the multilateral trading system, thereby demonstrating its commitment to international sustainable development.

During the early stages of development, government subsidies helped China’s renewable energy industry achieve rapid growth, but in recent years, China has gradually reduced subsidies in sectors such as photovoltaics, wind power, and EVs. Most notably, the “Notice on Matters Relevant to Photovoltaic Power Generation in 2018” significantly reduced photovoltaic subsidies and limited the scale of new photovoltaics projects. As these subsidies decreased, Chinese photovoltaic companies increased their competitiveness by upgrading technologies and reducing production costs, which gradually lowered the price of electricity. This transition has enabled them to secure a dominant position in the global market.

In the EV sector, subsidies from the Chinese government began to gradually decrease in 2017, and all subsidies for EV buyers had been eliminated by 2022. The withdrawal of these subsidies accelerated the marketization of the industry, pushing EV companies to compete by being more innovative and controlling costs. In 2018, China had as many as 480 EV manufacturers, but intense market competition cut this number to only about 50 today. This competitive pressure has forced companies to work to constantly improve existing technologies and reduce production costs, which is what has given them such a strong position in the international market.

Growing Criticism Toward China Due to Over Overcapacity and Tariffs

This green transition offers numerous benefits both within China and globally, including lower energy costs, environmental protection, and support for other nations through trade and technology transfer. However, China's efforts face criticism over potential overcapacity and challenges from tariffs and protectionist measures. The combined effects of intensifying geopolitical tension, rising economic protectionism, and the COVID-19 pandemic have led to a trend toward deglobalization. This has led to profound changes in the global trade landscape, particularly in renewable energy and green technology, where heightened competition among countries has exacerbated the instability and unsustainability of the global trading system.

Global trade growth has been one of the key drivers of economic growth and technological advancement. However, with the rise of trade protectionism, particularly the "local-first" policies adopted by major economies in recent years, the openness and fairness of international trade is facing unprecedented challenges. In response to competition in renewable energy products, countries have implemented measures that conflict with free trade policies, such as tariffs and other barriers. These policies have not only sparked widespread controversy globally but have also intensified conflicts in international efforts to address climate change and coordinate trade policies.

Recommendations for China and the Greater Global Green Transition

As efforts to address climate change and achieve sustainable development have become more mainstream, international trade policies have gradually transitioned toward green and low-carbon models. Rather than resorting to protectionism, the focus should be on fostering cooperation among all stakeholders. Governments, businesses, and international organizations should work together to develop and implement sustainable trade policies, that promote the global circulation of green products and technologies to achieve a win-win situation for economic growth and environmental protection. Below are some recommended measures that could be adopted:

Formulate Sustainable Trade Policies and Optimize the Structure of Green Products

Sovereign nations should develop trade policies from the perspective of sustainable development, encouraging the export of sustainable products while restricting the export of raw materials that consume higher levels of energy and produce higher emissions, which would restructure trade in green products and services.

By leveraging regional industrial advantages and strengths in green development, countries should accelerate their transformation to green energy, promote the application of green technologies, and encourage businesses to prioritize low-carbon, energy-efficient, environmentally friendly materials, and technologies in their design and manufacturing. This will enhance the competitiveness of green product exports.

For example, automakers in China and Europe could pioneer new forms of industrial collaboration through joint research and development facilities, shared talent development programs, and mutually recognized technical standards. Chinese manufacturers could establish production bases in Europe, creating jobs and fostering technological exchange. Currently, BYD is building a battery production facility in Hungary, adding to the region's EV manufacturing capacity, while CATL, a global leader in battery technology, is implementing major projects across Germany, Hungary, and Spain. These investments show how manufacturing synergies can move in both directions, mirroring the successful experiences of European carmakers in China, but adapted for today's evolving automotive landscape. Further, the EU and China could revive negotiations on the Comprehensive Agreement on Investment, which would provide crucial institutional safeguards for these businesses.

Deepen Multilateral, Bilateral, and Regional Cooperation

Countries should collectively uphold the current international system centered on the United Nations, and work toward the full implementation of the United Nations Framework Convention on Climate Change (UNFCCC) and the Paris Agreement. Countries should actively advocate for sustainable investment, production, and consumption as outlined in the UN Sustainable Development Goals (SDGs) policy framework. The WTO, as a platform, can also be leveraged to foster a new consensus on global governance, update rules, and promote the establishment of a new sustainable trade mechanism. Countries should also promote policies that encourage sustainable trade, use multilateral negotiations to reduce or even eliminate tariffs on sustainable products, and make it easier for them to clear customs.

Advancing Low-Carbon Regulations and Strengthening International Cooperation

Countries should strengthen international cooperation and advance low-carbon regulations within major global institutions. In 2012, APEC members reached the world's first substantive agreement on a list of environmental products aimed at promoting trade liberalization, covering 54 customs tariff codes. In 2021, the IMF recommended that the world's major carbon-emitting countries increase carbon prices under the G20 framework in consideration of development stages and historical emissions responsibilities, and establish a carbon price floor. The OECD has long emphasized the importance of carbon pricing, identifying it as the most crucial policy tool to address climate change. Countries should effectively leverage existing multilateral collaboration platforms to promote policy coordination in sustainable trade and green finance, setting unified standards under an inclusive framework. Additionally, efforts should be made to enhance supply chain transparency and foster technological innovation cooperation.

Strengthening International Cooperation in Green Industrial Chains

China should drive low-carbon development in upstream and downstream industries, as well as related sectors. International cooperation in green manufacturing should also be strengthened to promote the creation of a cooperation system for green, low-carbon industrial and supply chains, ensuring the efficient integration of high-end resources with the real economy. Other measures include enhancing technical exchanges and cooperation, reducing the market entry costs for green products and technologies in order to accelerate their global adoption, and improve the top-down design for addressing climate change.

Deepening International Cooperation in Green Finance

China should promote practical cooperation in climate investment and financing, such as encouraging the development of green credit, green bonds, green insurance, and other financial products, which can provide financing support for energy conservation, environmental protection, clean production, clean energy, ecological environment, green infrastructure, green services, and other key areas. China should also improve mechanisms for international cooperation in green finance by enhancing alignment in assessment standards, the reporting and disclosure of environmental, and governance data, in addition to actively exploring and developing international green finance standards and strengthening global coordination within a standardized green finance framework. It is recommended that China's multilateral banks such as the Asian Infrastructure Investment Bank (AIIB) and the New Development Bank (NDB) provide credit services, issue sustainable bonds, invest in carbon reduction initiatives and green economies in developing countries, and help underdeveloped economies establish carbon markets.

Promoting South-South Cooperation for Joint Green Transition

China should also enhance South-South cooperation in the current green transition. In November 2023, China signed 48 South-South cooperation agreements on climate change with BRI partner countries. Designing and promoting green transition plans within economic and trade cooperation zones in the BRI is recommended to help address the needs of BRI countries in transforming traditional industries and upgrading their energy infrastructure. China can increase the export of green technologies and work to enhance green production capacities, using its experience to expand green transition with BRI countries.

As a final note, it cannot be emphasized enough that addressing climate change requires immediate and sustained global action. The international community must unite, building on the current momentum to strengthen collaboration in developing climate solutions during the current green transition. Through collective effort, we can shape a future where climate action is not a burden, but a catalyst and driver of global progress, innovation, and shared prosperity.

China's Visa-Free Initiative Shows It Is Choosing Openness over Isolation⁸

As China works to re-engage with the world, increasing the number of foreign tourists who visit China is a core strategy to give people an informed perspective of a modern China.

China is ready for the world to witness its development, experience its culture and engage with its people. China's visa-free policy for visitors, introduced last year, is quickly becoming its largest visa liberalization since the founding of the People's Republic. In November 2024, it added nine more countries to the scheme, including Japan, taking the total to 38.

Effective from the end of the month, travelers from Japan, Bulgaria, Romania, Croatia, Montenegro, North Macedonia, Malta, Estonia, and Latvia can visit China visa-free for up to 30 days. This is a doubling of the 15 days the scheme granted previously and applies to all countries on the list, which include South Korea and several European states.

The numbers tell the story. In the first seven months of this year, China received 17.25 million foreign visitors, a dramatic increase of nearly 130% year on year. This recovery has sparked optimism in the tourism sector.

The influx is injecting fresh momentum into sectors ranging from hotels and restaurants to transport and retail, creating jobs amid the domestic consumption weakness. Hashtags related to China travel are trending on social media, reflecting growing interest.

China's reopening is also expected to benefit tourism globally as Chinese traveler numbers recover. Before the COVID-19 pandemic, Chinese tourists were the world's largest group of top spenders.

Global mobility matters. International travel, disrupted by the pandemic, is being disrupted again by anti-globalization forces. As the world economy slows, countries are turning inward, putting up trade barriers, restricting technology transfer and limiting academic exchange. Protectionism is creating walls between nations just when we need more bridges. By welcoming more visitors, Beijing is choosing engagement over isolation.

While others are creating trade barriers, China, committed to openness, is exempting dozens of the world's least developed countries from tariffs, showing its dedication to international cooperation. Beijing should be encouraged to go further by unilaterally implementing the Comprehensive Agreement on Investment, with the European Union which was put on hold after sanctions from both sides.

Amid heightened global tensions, China's expansion of its visa-free scheme reflects a strategic move to grow its soft power as it encourages more people around the world to discover its latest developments and hear its most compelling stories.

When people across the world share their experiences of China's high-speed railways, urban development, and cultural heritage on social media, they offer authentic glimpses of a modern China that resonate more deeply than official narratives. This

⁸ First published on November 26, 2024 by SCMP and revised for this collection.

ground-up “diplomacy” is particularly effective in reshaping international perceptions, especially among the younger generation. Such direct and personal experiences often overturn preconceptions.

China is betting on a simple truth: personal connections build trust more effectively than any government pronouncement. This confident move suggests that Beijing values genuine engagement over controlled messaging and reflects a broader strategy of using increased openness to counter skepticism.

The international response has been positive. For instance, Denmark's Foreign Minister Lars Lokke Rasmussen welcomed the country's inclusion in China's visa-free scheme, noting its potential to boost cooperation between the two countries.

Such reactions suggest a recognition that in today's fragmented world, lowering barriers to exchanges between peoples can help reignite global economic momentum. For European nations in particular, easier access to the Chinese market represents both an economic opportunity and a chance to deepen cultural understanding.

The next logical step would be to expand the visa-free scheme to major economies like the United States, Britain, and Canada. Given the diplomatic tensions, increased people-to-people exchanges could help build bridges where official dialogue has stalled. As the world's largest economy, the United States remains a vital source of technology, innovation, and investment. Opening up to Americans could create significant business opportunities and facilitate knowledge exchange.

Similarly, Canada's expertise in clean energy, education, and environmental protection offers valuable collaboration potential. Any negative image or stereotypes would be challenged once people have a chance to see China for themselves.

The visa-free policy can also strengthen academic exchanges with these developed countries, fostering knowledge sharing and enhancing China's development. The success of Hainan's ambitious visa-free scheme, which lets visitors from 59 countries stay for up to 30 days, suggests a broader national program can boost international exchanges while still maintaining proper security measures.

However, the broader challenge lies in streamlining the visitor experience. For travelers from countries that still require a visa, Beijing should consider overhauling the application process, such as eliminating visa appointments, waiving the fingerprint collection requirement for low-risk applicants, and reducing fees.

Immigration procedures also need modernization. The success of automated immigration gates at airports in Singapore and Japan offers a glimpse into more efficient tech-enabled border controls while maintaining security standards.

China's tourism sector itself needs strategic upgrades to match the new openness. Both government agencies and private operators should enhance their services, from providing multilingual support to making digital payments more accessible.

Cities like Barcelona and Amsterdam have shown how crucial it is to sustainably manage tourism growth. The Chinese authorities must balance tourism promotion with the protection of local communities and cultural sites.

After all, sustainable tourism isn't just about attracting more visitors—it's about creating lasting value for both guests and hosts while preserving the authenticity that makes destinations worth visiting in the first place.

China's visa-free initiative is more than just an administrative change. It reflects a strategic choice to embrace openness and engagement when many nations are turning inward. It displays China's confidence that the best way to be understood is to be experienced first-hand. China is ready for the world to witness its development, experience its culture, and engage with its people.

This could well become a cornerstone of China's engagement strategy. In choosing openness over isolation, China is showing that meaningful connections can flourish, even in challenging times.

US Concern about China's Overcapacity Is a Non-issue⁹

Instead of pointing fingers, those crying foul because of overcapacity should view China's green capacity within the broader framework of climate change cooperation.

The issue of overcapacity in China has once again found its way into international discourse. During her recent visit to China, US Treasury Secretary Janet Yellen emphasized concerns shared by the United States and its allies over China's industrial overcapacity spilling into the global economy.

Echoing Yellen, US Secretary of State Antony Blinken also raised unfair Chinese trade practices during a subsequent meeting with local government officials in Shanghai.

Overcapacity, denoting a situation where production surpasses demand, has become a recurring theme in discussions on China's economic landscape, resonating across various sectors and industries.

Lu Feng, emeritus professor of economics at Peking University, recently shed light on the dimensions of the current wave of overcapacity. He pointed to sectors including petrochemicals, semiconductors, autos, new energy vehicles, and batteries.

For instance, Chinese exports of lithium-ion batteries surged more than 30% year on year in 2023. In the same year, China also exported 1.2 million electric vehicles, 80% more than a year ago.

The rapid growth of China's EV exports, in particular, has driven discussions on Chinese overcapacity. Fuelled by geopolitically charged mistrust, these concerns have been amplified into a chorus of anxiety.

However, the current narrative of Chinese overcapacity sounds rather similar to that of the global financial crisis of 2008, as China's 4 trillion yuan (US\$580 billion) stimulus package led to expanded industrial output and concerns over overcapacity.

China became the world's largest exporter in 2009, triggering apprehension about an economic model more centered on acquiring market share than brand-building. Back then, the contraction of global trade exacerbated fears about overcapacity, so much so that *The New York Times* ran a piece fretting over China's excess capacity.

Yet, history reveals that this state of affairs was short-lived, and that the hand-wringing about overcapacity was unnecessary. Global demand quickly recovered in 2010, as exports grew 14.5%, a rebound from the 12% fall in the previous year. And concerns about China's capacity began to dissipate.

It became evident that the outcry about overcapacity was largely inspired by the global economic slowdown and diminished market demand rather than inherent flaws in China's industrial model.

Fast-forward to 2024, and the global economic landscape is marked by geopolitical turbulence, and international trade dynamics are unfolding differently.

Despite this, international demand has shown noticeable resilience, and forecasts indicate a gradual recovery in global trade. The world electric vehicle market, in

⁹ First published on May 2, 2024 by SCMP and revised for this collection.

particular, is witnessing exponential growth, with sales soaring 35% year on year in 2023 and projections indicating further expansion.

Similarly, the solar panel market presents immense growth potential, with the International Energy Agency (IEA) forecasting that global demand for new photovoltaic installations will reach 820 gigawatts, about four times that of 2022, if the goal set by the Paris Agreement is met.

The global market's green appetite is huge and dwarfs the capacity of suppliers. To achieve the climate goals outlined in the Paris Agreement, substantial investments in clean energy are imperative—according to the IEA, US\$4.5 trillion would be needed per year, yet renewable energy spending in 2023 is expected to be only US\$1.8 trillion.

The gap between required investment and actual expenditure underscores the need for highly cost-effective products, advanced technologies, and efficient resource allocation. It is impossible for China to tackle the climate challenge alone.

Instead of addressing so-called overcapacity, we need global collaboration across industries and sectors to increase the momentum of the global sustainable economy.

As the world transitions to environmental technologies, maximizing the capacity of green suppliers is critical in combating climate change. Rather than resorting to finger-pointing and protectionism, fostering cooperation among all stakeholders—manufacturers, researchers, suppliers, investors, and consumers—is paramount.

China, with its diverse industrial capabilities, plays a pivotal role in the global manufacturing landscape, accounting for about one-third of the world's manufacturing output.

Viewed within the framework of economic globalization, China's capacity is indispensable to meeting international demand. Moreover, an integrated global market not only requires diverse participation but also offers mutual benefits, fostering a win-win scenario for stakeholders.

In conclusion, the narrative surrounding overcapacity in China must be contextualized within the broader framework of sustainable industrial growth and global collaboration.

As the world embraces the green transition, leveraging collective capacities and resources is imperative in addressing the challenges posed by climate change. Instead of fragmentation, concerted efforts toward cooperation and innovation will pave the way for a more resilient and sustainable future for all.

China-EU Cooperation Is Needed to Safeguard Globalization's Future¹⁰

The failings of the current Global Order means that we collectively must devise a new multipolar model of peaceful coexistence. In this effort China and Europe are emerging as the two most crucial players.

A clear message emerged from the first in-person China-EU summit in four years: building a multipolar world would require a systematic reform of global governance. China and Europe need to heal rifts and cooperate to play a pivotal and constructive role in ensuring a better future for global governance.

The current international system, comprising the World Bank, International Monetary Fund and World Trade Organization, and led largely by the United States and Europe, was established after World War II to promote globalization, and in this saw great success.

But the global economy, culture, and society have marched on. Given the decentralization trending in geopolitics, this system is no longer reflective of our world today and increasingly global governance is falling behind the world's needs. The world order is in urgent need of restructuring.

The world is undergoing seismic changes unseen in a century. Geopolitical turmoil, climate change, a pandemic, and the rise of an anti-globalization movement have ushered in a turbulent era. Globalization, in particular, is facing unprecedented challenges.

In May this year, German Chancellor Olaf Scholz acknowledged the multipolarity of the world at the Global Solutions Summit. But while this multipolar world has arrived, the governance system to go with it has yet to be formed.

China is part of the Global South, but some of its regions have reached levels of development comparable to Global North nations. China is in a position to link with the major sectors of a multipolar world and play a leading role in globalization.

To build a better global governance system, the United States, European Union, China and other Global South countries need to agree on a multipolar model of peaceful coexistence. It would behoove China, the United States, and the EU to establish a trilateral dialogue for regular exchanges and to promote broader international cooperation.

Also, as the world's largest economies and major emitters of greenhouse gases, these three powers should discuss sustainable development solutions.

Due to cultural and systemic differences, there is more competition between China and the United States than cooperation. If both sides can coexist in a context of competition and cooperation, they may be able to reach a new balance by 2035.

Europe will play a pivotal role in avoiding a bipolar world and helping to form a multipolar one. As Europe is an independent third party, its economic relationship with China has become increasingly important.

There are four domains in which China and Europe can cooperate to forge a more multipolar world.

¹⁰ First published on December 14, 2023 by SCMP and revised for this collection.

The first is in new technology. From the Internet of Things and artificial intelligence to clean energy, technological advances are reshaping how we do business, despite a lack of effective international governance that hinders coordination.

Cutting-edge issues include global management of the digital economy, carbon taxes, and global corporate income tax. China and Europe should discuss the establishment of international institutions to foster coordination in these emerging areas.

The second is in climate action. China is a world leader in renewable energies such as wind and solar power. Its Belt and Road Initiative seeks to promote a transformation to green infrastructure, supported by financing from the Asian Infrastructure Investment Bank (AIIB).

Next year, the AIIB will host the fifth Finance in Common Summit. At this summit, China should propose cooperation in green infrastructure between its Belt and Road Initiative and the EU's Global Gateway program. The AIIB and European Investment Bank can also facilitate funding for climate-related work in developing countries.

The third domain in which China and the EU can cooperate is in investment and trade. China has joined the Regional Comprehensive Economic Partnership and applied to be part of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership and the Digital Economy Partnership Agreement.

But while China and the EU share extensive interests and a solid foundation for cooperation, they have reached an impasse on the Comprehensive Agreement on Investment (CAI).

The sooner the CAI becomes a reality, the sooner we can see an economic boom for the Chinese and European companies, especially important amidst the currently stagnant global economy. Given that China has unilaterally lifted visa requirements for some EU countries, it could also start unilaterally applying some CAI proposals to open up.

Last but not least, China and Europe can cooperate on smoothing the movement of their citizens. Freeing up the flow of people is part of globalization and has an impact on trade, investment, and technological exchanges, promoting the exchange of culture and ideas.

It is in this spirit that China is trying out visa-free travel for the citizens of France, Germany, Italy, the Netherlands, and Spain on ordinary passports to enter the country for business, tourism, or to visit relatives and friends.

But China should also continue to work on attracting talent, especially from Europe, by further liberalizing its visa policy to promote people-to-people connectivity and help build global consensus.

Global governance needs to be more inclusive and geared toward twenty-first-century problems such as climate change and social inequality. This can be done by boosting free trade, overcoming the global infrastructure gap and closing the digital divide. China is a beneficiary of globalization, and its economy has continued to mature, entering an age of high mass consumption, similar to Europe of the past.

It is clear that China and Europe face obstacles to greater cooperation, with pressures both internal and external. But it is in the interests of both to play a leading role together in shaping the next iteration of a more resilient, inclusive, and sustainable model of globalization.

A New Form of Economic Globalization to Reshape the World Order¹¹

The future of the world order is dependent on reshaping an ineffectual form of economic globalization that is no longer fit for purpose. Nations must adapt to the reality of a new model by reforming existing institutions and establishing new ones.

“Hyper-globalization” ended when geopolitical conflicts, a sluggish global economy, and climate change brewed discontent within the world order. To address collective global issues, it is imperative to enhance the economic connections between countries and regions smartly and to reshape global economic governance. As the practitioner and beneficiary of globalization for over 40 years, China will continue to contribute to global economic governance and embrace the new wave of globalization.

A Structural Change Is Key

Globalization has come to a new crossroads after 40 years of unprecedented economic prosperity in the world. “Global Governance 1.0,” the international system based on the UN and Bretton Woods institutions, has been confronted with various challenges ranging from changing geopolitics, rapid technical advancement, and global societal and economic transformations to the accelerating pace of climate change. As Nobel Laureate in economics Joseph Stiglitz famously said in “Globalization and its Discontents,” “Globalization is not working for many of the world’s poor. It is not working for much of the environment. It is not working for the stability of the world’s economy.” To answer the prevailing discontent with globalization, one should understand what has recently happened to the turbulent international order. The simplest answer is: the world is undergoing structural change.

A Multipolar World

The world is now more multipolar, as it has witnessed the rise of developing countries in the past four decades. Nowhere is the shift to multipolarity more evident than in the rise of Asia, given that its economy is now bigger than the rest of the world combined. The simple reality is that no single power can dictate global norms and rules by itself. The existing US-led system, designed for a world where power is concentrated in the hands of one superpower, is increasingly becoming untenable.

¹¹ First published in May 2023 by *Global Solutions Journal* and revised for this collection. This article was co-authored by Mabel Lu Miao, Co-founder and Secretary-General of the Center for China and Globalization (CCG).

More Interdependence

However, the multipolar world is also more interdependent. Rising interdependence stems from two related sources. The first is cross-border flows of people, goods, capital, ideas, and data that tie the interests of different countries together through global supply chains, cultural flows, and global finance. The second is the rise of transnational challenges—usually known as non-traditional security threats, such as the COVID-19 pandemic—that heavily disrupt the global supply chain. Our current system of global governance was designed in an age when the most salient security threats that countries faced were those emanating from other states. Deepening cross-border linkages and shared global threats mean that global governance should facilitate collective responses to transnational challenges.

Digital Economy

This growing interconnectedness is visible in the rise of transnational data flows and the global digital economy. In 2021, the digital economy's added value from 47 major economies made up 43.7% of their combined GDP, marking a 15.6% year-on-year increase, according to the report from China's Academy for Information and Communications Technology (CAICT). The pandemic accelerated this digitalization, and even though its full implications for global governance are not yet clear, they are surely profound and manifold. Unfortunately, the booming global digital economy faces a threat from geoeconomics, which focuses on the use of economic tools to advance geopolitical objectives. Economic relations are increasingly a source of friction undermining international cooperation and global governance. The COVID-19 pandemic further increased calls to “re-shore” production, with some governments intervening to draw supply chains home. As Pascal Lamy, former Director-General at the World Trade Organization (WTO), has pointed out that, in the aftermath of the pandemic, a certain degree of precautionism—legitimate safeguarding of citizens' needs—was to be expected.

Rising Regionalism

As global trade rules fray, a patchwork of regional deals—as vehicles for deeper liberalization—has emerged. First was the Comprehensive and Progressive Trans-Pacific Partnership (CPTPP), launched in 2018. Then came the new free trade agreement between the United States, Mexico, and Canada (USMCA), which came into force in 2020, followed by the African Continental Free Trade Area (AfCFTA), which started trading in 2021. The latest achievement is the activation of the Regional Comprehensive Economic Partnership (RCEP) in 2022. To reform the less functional “Global

Governance 1.0,” we need to accommodate these dynamic regional solutions and increase their coordination so that they work together harmoniously. More importantly, we need to exploit the latest technical developments and take advantage of these interdependencies for the benefit of our well-being.

Main Challenges and Opportunities

The current world order was already shifting into an uncertain period when rising geopolitical tensions between the world’s largest economies daunted the international community. US-China relations are seemingly sliding into the self-fulfilling prophecy of the “Thucydides’s Trap,” as Harvard Professor Graham Allison described it. Russia’s “special military operation,” which began in 2022, signaled the collapse of the Yalta system founded after WWII. A dichotomy of democracy vs. autocracy, a ghost of the Cold War mentality, is becoming increasingly dominant within some great powers’ narratives. The common challenge posed to the world is neither inaction on disasters or conflict nor the shedding of shared responsibility, but mutual hostility in the minds of human beings.

More Inclusive, Integrated, and Flexible Governance

To adapt to these realities, a new global economic governance will need to embody three principles:

1. It needs to be more inclusive. It should better represent the voices and interests of emerging economies and mobilize a new set of actors to work on global problems.
2. Global economic governance needs to be more integrated. Complex, cross-cutting challenges need to be addressed in an integrated manner, accounting for links between different sectors and issues based on strong connections between global and regional organizations, international financial institutions, and other global alliances and institutions.
3. Finally, our post-pandemic world calls for more flexible global institutions. Rather than sticking to large, unwieldy, member-driven formats for all purposes, global mechanisms should be tailored to the job at hand. For some purposes, such as kick-starting the process of reforming key global institutions, a smaller group of powers may be preferable. For other tasks, it may be more suitable to forge a broad and inclusive group of nations and other stakeholders.

The Uniqueness of China

China has a unique role in leveraging global governance. Its persistent development in the past half-century has not only enriched the diversity of world history but also rewritten the world economic map. Furthermore, as it became increasingly aware of the importance of sustainable development, China helped nurture the momentous Paris Agreement, along with the world's leading economies. By proposing its carbon peaking and carbon neutrality goal in 2020, China also helped consolidate the global consensus on climate change.

The outbreak of COVID-19 and Russia's war in Ukraine in 2022 severely undermined the joint effort of the international community to restructure globalization. China, on the contrary, demonstrated its economic resilience during the pandemic while managing to reconnect with the world at the end of 2022. It quickly resumed its face-to-face diplomacy with the international community, and its leadership frequently visited the major stakeholders in global geopolitics. Meeting with US President Joe Biden at the G20 Bali Summit, President Xi Jinping reassured the world of his intention to reset the framework for Sino-US relations. As the first anniversary of the war in Ukraine was approaching, China published the Global Security Initiative Concept Paper and China's position paper on the Political Settlement of the Ukraine Crisis. In the latter, China reiterates its opposition to armed attacks against nuclear power plants, and its warning that "nuclear weapons must not be used and nuclear wars must not be fought" have been applauded by the international community.

All of the above efforts might be squandered if other countries are unwilling to respond. China cannot work alone, and multilateralism is key for international cooperation. 2023 bore witness to flourishing international dialogues to revive the collaboration through bilateral and multilateral mechanisms. We expect that, in subsequent summits of the BRICS, the G20, the G7, and the Asia-Pacific Economic Cooperation (APEC), shuttle diplomacy will bring fruitful achievements to help restore a fair and just world order.

Recommendations and Conclusions to Promote WTO Reform

As bilateral or multilateral investments and trade agreements are on the rise, the WTO continues to be a core promoter of investment and trade facilitation, reducing tariff and non-tariff barriers and eliminating differential treatment in international trade. A reform of the WTO would boost the confidence of the international community in the multilateral trading system and multilateralism. In the future, we hope that all parties will promote WTO reforms and that the WTO will once again fully play its role in maintaining and facilitating international multilateral trade.

Resurrect the China-EU Comprehensive Agreement on Investment

China and the EU share extensive common interests and a solid foundation for cooperation, but over the past two years, the two sides have reached an impasse on the Comprehensive Agreement on Investment (CAI), which has been hailed as China's second round of reform and opening-up. To overcome this impasse and in an effort to revive the CAI, China's National People's Congress ratified the International Labour Organization's 1930 Forced Labour Convention and the 1957 Abolition of Forced Labour Convention in April 2022 as a symbolic measure to alleviate concerns. Resuming communications may mean that the two sides can negotiate and lift sanctions, allowing the CAI to go into effect as soon as possible and bring an economic boom to Chinese and European enterprises.

Multilateralize the Belt and Road Initiative

The Belt and Road Initiative (BRI) must be reconfigured as a multilateral endeavor for global governance and development. Since it was launched in 2013, the BRI has become a vector of globalization, growth, and investment in many regions. In addition, the initiative has helped build the so-called "soft" infrastructure, such as education, healthcare, and other services. When the time is right, China can propose cooperation in infrastructure between the BRI, the EU-led "Global Gateway" program, and the US-led "Build Back Better World" (B3W).

Upgrade the Asian Infrastructure Investment Bank to the Global Infrastructure Bank

Over the last six years, the Asian Infrastructure Investment Bank (AIIB) has established itself as an effective multilateral development bank (MDB) and has successfully integrated into international financial architecture. With a fresh capital injection and expanded membership, the bank would be well placed to expand its remit and become the Global Infrastructure Investment Bank (GIIB). This would involve inviting new members to play a major role, including countries in other regions, such as Africa and Latin America. In addition, the GIIB could form a special body for multilateral actors, including MDBs and regional organizations, to enhance coordination between existing infrastructure initiatives worldwide.

China Should Move Toward Joining the CPTPP

China should move toward joining the CPTPP, a higher standard FTA geared to advanced economies. Joining the 11-member CPTPP would push back against decoupling and protectionism and provide an external impetus for the next phase of reform and opening. The CPTPP's principles are well aligned with China's goals to improve Intellectual Property Rights (IPR) protection and reform state-owned enterprises (SOEs). In the long term, an enlarged CPTPP could provide a blueprint for reforming

the WTO and getting the global free trade agenda back on track. Chinese membership could help reduce friction and the rise of geoeconomics by aligning China more closely with progressive global trade norms.

Establish Normative Agreements and Regulations for a Global Digital Economy

The digital economy is a key engine and an important trend in world economic development. A new framework must be established that can support the safe and healthy growth of the global digital economy. On June 12, 2020, Singapore, Chile, and New Zealand signed the Digital Economy Partnership Agreement (DEPA); perhaps the Group of Twenty (G20) could also further explore the regulations related to digital trade based on the Osaka Declaration on the Digital Economy. The establishment of an International Data Alliance (D20) composed of the world's 20 largest digital economy companies should also be considered to enhance the G20's ability to better promote global governance in the digital economy.

Cooperate on Green Development

Green development requires new business models and forms of collaboration across the industry. Green issues may offer a more promising field to forge consensus and meaningful reform. Specifically, China could work with other partners to promote the creation of a dedicated UN institution focused on climate change as a unique crisis that affects many areas of global cooperation. The UN already plays a leading role in addressing climate change through the UN Environmental Program (UNEP) and the UN Framework Convention on Climate Change (UNFCCC).

Conclusion

Global governance needs to be more inclusive and geared to twenty-first-century problems like climate change and addressing inequality by boosting free trade, overcoming the global infrastructure gap, and closing the digital divide. The year the book "Globalization and Its Discontents" was published was probably the heyday for China's longstanding economic growth, owing largely to the dividends of the country's reform and opening-up, and its entry into the WTO to engage in the international trade system, which stimulated domestic consumers' confidence and expanded exports for the next two decades. China has been a beneficiary of globalization, and its economic growth has shifted from take-off to maturity and the age of high mass consumption. However, retrospectively, one will find that China too faces challenges, with pressures at home and questions about how other countries will respond to its rise. However, it is in the interests of both China and other countries that the world's most populous country plays a leading role in shaping the next iteration of global governance.

The BRI's Role as a Global Public Good Should Be Maximized¹²

Multilateralization of the BRI by means of reforming decision-making mechanisms and linking with international organizations could dispel doubts among developed economies and improve the initiative's role as a global public good.

The Belt and Road Initiative has grown from a vision in 2013 to a series of bilateral arrangements today with the potential to serve as a global platform for international infrastructure development. By June 2023, 152 countries and 32 international organizations had signed more than 200 cooperation agreements with China on Belt and Road cooperation, reflecting the popularity and effectiveness of the initiative.

But despite being praised by many countries in Southeast Asia, Eastern Europe, Africa, and the Middle East, the initiative has yet to convince some Western countries about its crucial role in cross-border infrastructure development. There are multiple reasons for that, but in general, the Belt and Road Initiative faces three main challenges.

Negative Reports Cause of Misunderstandings

The first challenge is in terms of the power of discourse. Given the relatively weak voice of the Chinese media in international circles and consequently its limited influence, Western media outlets are able to influence the international community's views on the initiative to a greater extent. Also, negative reports on Belt and Road-related issues cause misunderstandings and negatively impact the initiative.

The second challenge is the West-floated notion that the Belt and Road Initiative creates "debt traps" for developing countries. Many scholars around the world have studied this issue and have proven that the initiative does not create "debt traps." Yet some Western observers and media outlets continue to trumpet their baseless claims.

And third, the initiative means different things for different countries and observers, which means it lacks a unified definition.

To enhance its inclusiveness, China should ensure that the Belt and Road Initiative widens its cooperation with other international mechanisms, so as to integrate itself with the global cooperation networks and project itself as a crucial international platform to serve not only China but the rest of the world.

¹² First published on October 12, 2023 by *China Daily* and revised for this collection.

Broad Consensus Needed to Enhance Interaction

Given these facts, the Belt and Road Initiative should build a broad consensus with its overseas participants to facilitate closer interaction with the international community. To “multilateralize” the Belt and Road Initiative, I suggest that the authorities establish the following mechanisms.

To begin with, multilateral decision-making structures could be built to strengthen the Belt and Road Initiative and ensure high-quality infrastructure development. If the countries involved in the initiative were offered and accepted the responsibility of jointly building the multilateral structures, a new institution, say a Belt and Road International Steering Committee or Belt and Road International Cooperation Organization, could be established. Invited countries could send their representatives to participate in the committee or organization, and help form a new order of global and regional governance for the initiative.

An apt example of such an organization is the ASEAN-China Center, established by China and ASEAN member states, which serves as a regional institution with offices in China and ASEAN member states. It has an efficient three-tier management structure, which provides guidance and undertakes specific tasks in the alignment and cooperation of major bilateral and multilateral policies with relevant countries.

A BRI steering committee mechanism could also be aligned with the existing multilateral institutions of global and regional governance such as the G20 and the Asia-Pacific Economic Cooperation (APEC) forum. This would allow countries to regularly meet and discuss Belt and Road-related agenda items and carry out extensive exchanges and consultations. The agreements, plans, mechanisms, and projects jointly implemented would boost the development of Belt and Road projects.

Second, the Belt and Road Initiative could engage with international organizations under the United Nations framework to invite them to participate in Belt and Road projects. The initiative could also request the United Nations to establish a Belt and Road cooperation mechanism, giving full play to the UN’s best practices and its role as a bridge between countries.

The UN’s involvement in the Belt and Road Initiative could help establish working relationships with UN agencies such as the United Nations Development Program and the World Trade Organization. While the support of the UN would give additional confidence to Belt and Road countries, getting the UN’s support may be difficult as the United States and certain other countries are likely to block UN agencies from associating with the Belt and Road Initiative. So China needs to tread this path with caution.

Third, China should take measures to engage more developed economies in Belt and Road third-party market cooperation and expand its cooperation with the United States and the European Union in infrastructure construction projects. China has already signed cooperation agreements with France and Japan for projects in third-party markets. Such agreements could be expanded to other developed countries. Third-party market cooperation agreements emphasize complementarities, which

include China's high-level production capacity, advanced technology from developed countries, and the infrastructure needs of developing countries. Bringing these together will provide a new model for high-quality joint cooperation on Belt and Road projects and promote multilateralism.

China could also consider proposing infrastructure cooperation between the Belt and Road Initiative, the EU's Global Gateway, and the United States' Build Back Better infrastructure initiatives. Also, the India-Middle East-Europe Economic Corridor proposed at the G20 Summit in New Delhi raises the possibility of building a China-US-India-Europe "quadrilateral+" platform for global infrastructure investment and development.

The Organization for Economic Co-operation and Development, an organization of industrialized economies, which promotes the economic health of its members and contributes to worldwide development, also compares policy experiences, identifies good practices, and coordinates domestic and international policies of its members. It could thus be used as a model to "multilateralize" the Belt and Road Initiative.

Advanced Economies Should Ease Doubts on BRI

Fourth, expanding the Asian Infrastructure Investment Bank's target sectors and regions could be a plausible way of providing support for eligible infrastructure investment projects worldwide. China could explore the possibility of establishing an international development bank cooperation partnership to boost collaboration among various international development banks.

The partnership among international and regional development banks such as the World Bank, Asian Development Bank, African Development Bank, Latin American Development Bank, European Bank for Reconstruction and Development, Islamic Development Bank, and the AIIB will bolster inter-banking coordination, help improve infrastructure in developing countries, build digital infrastructure, and enable the green transition.

While there are funding gaps, infrastructure spending tends to spur investment demand and create jobs. So long as the global geopolitical environment allows, the arrangement could form an international, standardized, open, and transparent infrastructure development system and expand supply networks for global products.

Sixth, the Belt and Road Initiative should consider mobilizing the business resources as well as think tanks worldwide to explore more intellectual resources. Establishing a Belt and Road international business partnership and creating a multi-tiered and diversified think tank platform would help introduce dynamics to people-to-people communication and mutual understanding. By organizing non-official international forums and summits, these partnerships can enrich and diversify the Belt and Road Initiative and turn it into a popular international initiative.

In conclusion, China could work to improve global economic governance. China can further increase its level of public participation, and more staunchly uphold multilateralism. This would help maximize the role of the initiative as a global public good.

Five Reasons China's Reopening Is Good News for the Global Economy¹³

China's lifting of COVID-19 restrictions allowed for the resumption of international business, the revival of tourism and consumer spending, and the return of cultural exchanges that paved the way for increased in-person exchanges and a broader global recovery.

After almost three years of zero-COVID, China's reopening came "gradually, then suddenly," to borrow Ernest Hemingway's famous phrase.

In late 2022, life here in Beijing had all but ground to a halt as local lockdowns spread across the city. Now, it's like a cloud has lifted as ring roads, offices, and malls around the capital begin to fill up again. Cases surged across the country, but most were mild and will soon subside as herd immunity is reached. Infections in Beijing have peaked already, with other cities following in late January 2023.

The lifting of most restrictions injected vitality into the economy as people return to regular work and life patterns. The accelerated reopening prompted Goldman Sachs and Morgan Stanley to raise China's GDP growth forecasts to above 5% for 2023.

The positive outlook is reinforced by Beijing's shift to a more pragmatic pro-growth economic policy, as signaled at the recent central economic work conference. This includes support for the private sector and domestic consumption and a more accommodating stance toward real estate and big tech, key growth drivers that have both suffered regulatory crackdowns over the past two years.

China's reopening also eases fears of a global recession at a time when advanced economies are slowing as a result of rising interest rates and high energy costs. The country is by far the world's biggest growth engine, accounting for around 30% of global growth.

Five benefits for the global economy are worth highlighting.

First, despite some short-term disruption from staff shortages, the end of restrictions should gradually help to resolve blockages in supply chains that have caused long delays for products ranging from cars to iPhones, helping to ease inflation.

The second benefit stems from the resumption of travel to and from China. Unlike flows of goods and capital, which remained strong even under zero-COVID, trips in and out of China have been reduced to a trickle, plunging 79% for mainland citizens and 95% for foreigners in 2021 compared to 2019 levels.

Eased cross-border travel is a boost for the operations and investment of multinationals. Executives will resume travel between headquarters and China, facilitating new deals and projects. Similarly, Chinese entrepreneurs will embark on long-delayed trips to seek opportunities in overseas markets.

Improved conditions will also help China-based firms attract and retain foreign talent. Last January, it was estimated that as many as 100,000 foreigners were waiting to return to Shanghai alone, including teachers and other elements of the family infrastructure that supports the international workforce.

¹³ First published on January 10, 2023 by SCMP and revised for this collection.

The third and perhaps most immediate impact of reopening will be the revival of the Chinese consumer. Consumer confidence hit record lows in 2022, but it has already picked up significantly since reopening began, making Chinese consumers the most confident in the world, according to the latest survey by Ipsos.

There is room for a considerable degree of mean-reversion recovery in 2023 as China's middle class unleashes pent-up spending power. Chinese consumers didn't get government cheques like in the West, but they hoarded cash during the pandemic. Nominal disposable income per capita rose by 5.3% in the first nine months of 2022, while residents' onshore savings rose by 16.7% to a record high of US\$17 trillion as of November 2022. In addition to increased spending on imports, China's reopening means a huge windfall for the global tourism sector, which accounts for over 10% of global GDP.

Before the pandemic, Chinese tourists accounted for almost 20% of international tourism spending, or US\$255 billion in 2019. Their absence left a huge black hole, but early signs indicate they will be back in force. Searches for top overseas destinations on the travel platform Ctrip surged tenfold within 30 minutes of the announcement on relaxed quarantine rules.

The first beneficiaries of this "outbound rebound" will be nearby destinations highly exposed to Chinese spending, like Hong Kong and Thailand, for whom extra travel spending could see a GDP boost of 6% and 3% respectively, according to estimates by Goldman Sachs. Travel-related sectors such as aviation, hotels, and retail will also benefit.

The final benefit of China's reopening for the global economy is less tangible but no less important in the long run.

US-China tensions cast a dark shadow over prospects for the global economy. Zero-COVID exacerbated this problem by choking the bilateral interpersonal exchange that is so important for building trust and mutual understanding.

China's reopening also paves the way for a resumption of in-person engagement between officials, scholars, entrepreneurs, and students from both countries. This interaction is important, especially for the next generation of decision-makers.

A recent survey shows that Chinese people with experience studying or traveling in America have more positive attitudes toward the country. Hopefully, 2023 will also bring a return of US students to China, whose numbers fell from thousands to less than 400 during the pandemic, helping to build a pipeline of China literacy for the future.

Given the current climate, it is perhaps not surprising that Beijing's recent policy shift has spurred many commentators outside China to make a U-turn of their own. After years spent highlighting the harm of lockdowns and other restrictions, many now stress the risks of reopening, such as temporary labor shortages and added inflationary pressures.

These are valid concerns, especially given that rising Chinese demand comes as global monetary policy tightens. However, that should not obscure the big picture. China's path to reopening may not be straightforward, but it will bring a huge boost to markets and industries around the world in 2023.

Could Reshaping the World Order Usher in the Return of Economic Globalization?¹⁴

A new Bretton Woods moment is upon us as the current system is unable to ensure economic prosperity and political stability, this means that major powers, including China, must work to develop a “New Bretton Woods” framework to restore a more equitable form of globalization.

Globalization is at a crossroads. The Russia-Ukraine war that broke out in February challenged the post-WWII world order. However, in a broader sense, the reshaping of the current world order is an inevitable result of global economic development, advancements in technology, and the natural evolution of the global power landscape. Under the “center-periphery” system, the globalized flow of resources, technology, capital, and personnel has enabled emerging economies to grow stronger while developed countries at the center have comparatively weakened. The cost of maintaining their current power position by suppressing competitors is rising. This has resulted in damage to their own credit while also creating shockwaves throughout the world economy and global geopolitical order.

The World Order After the Russia-Ukraine War

The Russia-Ukraine war, in the wake of the COVID-19 pandemic that plunged the world economy into recession, has shaken US hegemony and has become the biggest challenge to the international order since World War II. Globalization, as we have known it for the last 30 years, is coming to an end. Larry Fink, CEO of BlackRock, the world’s largest asset manager, declared in his 2022 shareholder letter that the Russia-Ukraine war will reshape the global supply chain and drive up global inflation. A *New York Times* article titled “Globalization Is Over. The Global Culture Wars Have Begun” echoed similar views.

Changes in the Sino-US relationship, combined with the development of other regional powers and new national alliances, have weakened US influence. Regional powers such as Türkiye, South Africa, Egypt, India, Indonesia, Brazil, and Mexico play a more unique and important role on the global stage. The ongoing development of national alliances such as ASEAN, the African Union, and the Arab League has strengthened regional unity and given them greater leverage to maintain their independence. After the outbreak of the Russia-Ukraine war, only 40 countries sanctioned Russia. This decision was motivated by trade reasons: two-thirds of the world’s countries have China as their main trading partner, causing them to opt for non-alignment. This trend indicates that today developing countries tend to be more multipolar than bipolar. Meanwhile, as the United States tries to strengthen old alliances with partners and allies, Argentina, Iran, Saudi Arabia, Türkiye, and Egypt are preparing to join BRICS, which may play a more active role in reshaping the global order.

¹⁴ First published on September 20, 2022 by the Institute of Montaigne and revised for this collection.

The outbreak of the Russia-Ukraine war accelerated major restructuring in the international landscape and increased multipolarization. Intensifying domestic issues in the United States, and whether the country has the will, confidence, and ability to maintain its status as a globally active superpower have increasingly come into question.

Zbigniew Brzezinski, President Jimmy Carter's National Security Adviser and renowned geostrategic theorist, once predicted in his book *The Grand Chessboard: American Primacy and Its Geostrategic Imperatives* that "in the long run, global politics are bound to become increasingly uncongenial to the concentration of hegemonic power in the hands of a single state. Hence, America is not only the first, as well as the only, truly global superpower, but it is also likely to be the very last."

Today, the decentralization trend of world politics is basically a foregone conclusion. As the power of peripheral countries increases and the power of the center weakens, the power in the "center-periphery" world system will become more decentralized, resulting in a more equal and inclusive multipolar world order.

Changes in the World Order and China's Role

A reshaping of the international order would mainly affect mainstream values, norms, and institutional arrangements. As major powers play an important role in the transformation of the world order, Sino-US relations and China's rise, are key elements. Singapore's former Prime Minister Lee Kuan Yew once called China "the largest player in history"—highlighting how it is impossible for a country as large as China to not have an impact on the world system. So what impact is China having on the world order?

Binary power structures, historical concepts of dominance, as well as ideological and nationalistic sentiments, make it easy for the West to regard China as an enemy. However, China's traditional concepts of "harmony," its mission to create a new era of common prosperity, and the goal of building a community with a shared future for mankind all demonstrate that China, which is committed to achieving a peaceful rise, is inclusive and harmonious. In terms of economic development, China has achieved in 30 to 40 years what it took trailblazing Western countries nearly 200 years to accomplish and is gradually narrowing the gap with the US economy. However, issues like wealth inequality still remain. China still counts 600 million people with an average monthly income of no more than ¥1,000. China's per capita GDP is just over US\$10,000, about half of the average income in developed countries, and lags far behind the United States in key areas. In geopolitical terms, China has neither the will to replace the United States as the world's policeman nor the ability to provide public goods to the world despite its rising overall national strength. But China's willingness and ability to safeguard its own national interests and assume responsibility as a major power are also on the rise.

Over the past three decades of rapid globalization, general prosperity masked the injustice in the international system and world order, which became more apparent

as the world economy slowed down. China has benefited greatly from globalization and continuously worked to open itself to the world, providing institutional public goods to the global community, while also working to promote new concepts of globalization and governance to guide it toward a more inclusive, fair, and just direction.

In the past decade, China has proposed the concept of a community with a shared future for mankind and advocated the implementation of the Belt and Road Initiative (BRI). In terms of economic development, China has promoted the creation of the Asian Infrastructure Investment Bank (AIIB), joined the Regional Comprehensive Economic Partnership (RCEP), signed the China-EU Comprehensive Agreement on Investment (CAI), and applied for joining the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and Digital Economy Partnership Agreement (DEPA).

In his May 2022 speech outlining the Biden administration's policy toward China, US Secretary of State Antony Blinken has regarded China as "the most serious long-term challenge to the international order." From Obama's "pivot to Asia" policy to the Quadrilateral Security Dialogue (Quad), the Australia-UK-US Alliance (AUKUS), the Five Eyes, and the Indo-Pacific Economic Framework for Prosperity (IPEF), the US strategy to contain China in the coming decades is very clear. With the relative decline of American influence, regional powers will become more ambitious and there will be more military incidents between countries as well as more securitization. Such scenarios imply we will face a more fragmented, turbulent, and divided world before a new multipolar world order can be established.

Some Europeans may regard China as a challenge to the existing international order and feel distressed by the decline of the West, but Europe will remain an important player in the construction of any new world order.

China, the United States, and Europe must create space for cooperation. In terms of scale, China, the United States and Europe are the world's three main economic pillars.

In 2021, the total GDP of the United States exceeded US\$23 trillion, while the GDP of the EU reached US\$17 trillion (US\$20 trillion if we include the UK and other European countries outside the EU). Meanwhile, China's GDP reached US\$17.7 trillion. China, the United States, and Europe are also the main players in most of the global conflicts and divisions that we face today. This is why the creation of a "G3" that includes China, the United States, and Europe is relevant. A high-level platform for dialogue and coordination that can be used to coordinate differing positions on major international issues could help avoid unnecessary misunderstandings and conflicts and play a positive role in the promotion of world peace and common development.

China and Europe share consensus in many areas, such as climate change and the digital economy. Europe may not be as strong militarily, but it still has significant advantages in terms of economy, soft power, and cultural influence. Many international organizations are also located in Europe. If a China-US-EU "G3" concept is established, Europe will act as a mediator between China and the United States,

instead of completely siding with the United States and maintaining relative independence. At present, China has established a third-party market cooperation mechanism with many countries including France. In the future, China and Europe may also consider deepening third-party market cooperation in Africa and other places to jointly promote investment, trade, and infrastructure development in Africa, thereby establishing a new direction in South-South cooperation.

Restarting Economic Globalization and Reshaping the World Order

Peter Schiff, a veteran Wall Street forecaster who accurately predicted the 2008 financial crisis, warned in early July 2022 that the United States would face an economic crisis more severe than the “Great Recession” of 2008. IMF President Kristalina Georgieva also publicly stated on July 13th that the state of the global economy would be dire in 2022, and possibly even worse in 2023. It is fair to say that a global economic depression has arrived. Clearly, we have not hit the bottom of this economic recession as global inflation, food crises, and energy crises continue to bubble. The economic downturn in the United States and Europe is worsening, while China’s economic recovery is also slowing down.

The Bretton Woods system after World War II formed the cornerstone of the post-war world order and brought decades of peace, stability, and prosperity to the world. Today, the COVID-19 pandemic and the Russia-Ukraine war have brought mankind to a new Bretton Woods moment. Economic globalization is facing a more complex international environment with world peace, openness, connectivity, diversity, and fair development severely damaged.

As a result, all parties should focus on creating a new economic order and institutional basis, while at the same time hedging against military expansion and the insecurity it brings to the world.

Recommendations for a Path Forward

First, World Trade Organizations (WTO) reforms should be a priority. This institution is among the most important ones in world trade today. The package agreement reached as a result of the 12th WTO Ministerial Conference (MC12) boosted the confidence of the international community in the multilateral trading system. In the future, we hope that all parties will promote WTO reforms and that the WTO will once again give full play to its role in maintaining and mediating international multilateral trade.

Second, smooth implementation of the China-EU Investment Agreement (CAI) is needed. China-EU relations have reached an impasse on CAI over the past two

years, so the resumption of communication may allow both sides to negotiate and lift sanctions, enabling the CAI to go into effect as soon as possible, which would be a boon to Chinese and European enterprises.

Third, a multilateral development bank cooperation framework could be created. In the future, the AIIB could work with the World Bank, the Asian Development Bank, the European Bank for Reconstruction and Development, the European Investment Bank, the Islamic Development Bank, the African Development Bank, the Inter-American Development Bank, and others, to promote a platform for global infrastructure development driven by international multilateral development banks.

Fourth, promoting economic, trade and investment cooperation is key. Given the increasing demand to jointly respond to challenges, it may be possible to hedge the insecurity by enhancing economic and trade, and investment cooperation between China, the United States, and other regional countries within the “Indo-Pacific Economic Framework for Prosperity.” It is difficult for ASEAN and other Asian countries to distance themselves from China in economic and security terms, and they are unwilling to take sides between China and the United States. A politically and militarily divided Asia is not in line with the further rise of Asian countries.

Fifth, regional and global economic vitality should be stimulated to promote Asia-Pacific economic integration. The CPTTP has already reached 90% and in some instances even 98%. In the future, if the economic pie becomes bigger and everyone returns to the multilateral negotiation mechanism, it may reduce the risk of direct conflict between countries.

Sixth, a new framework must be established to promote the global digital economy’s normative agreements and regulations. The United States should also allow Huawei, TikTok, WeChat, and other companies to operate in the United States, while China should also consider opening up its market to Google, Facebook, Twitter, and other American digital companies. The establishment of an “International Data Alliance” (D20) composed of the world’s 20 largest digital economy companies should also be considered to enhance the G20’s ability to better promote global governance in the digital economy.

In conclusion, to bridge divisions induced by COVID-19 and the Russia-Ukraine war, avoid the outbreak of larger regional wars, and guide the development of the world order to operate more moderately, we must enhance economic cooperation. Reshaping global economic governance and promoting a new round of economic globalization is the best path forward.

China's Zero-COVID Policy Has Had a Severe Impact on Its Stock of Global Talent¹⁵

The exodus of talent from China during COVID has had a lasting impact that is still felt today with numbers of foreign professionals and students still only a fraction pre-COVID numbers, but China is still keen on increasing its stock of global talent.

While China's zero-COVID policy has been remarkably successful in containing the virus and keeping death rates to a fraction of those seen in the United States and the UK, it has also profoundly affected the country's economy and China's stock of global talent.

Cross-border flows of people has been greatly reduced—last year, trips in or out of China by mainland citizens plunged 79% compared with 2019. For foreign citizens, the number fell even more sharply, to just 4.6% of 2019 levels.

These numbers will begin to increase with recent moves to ease entry into China. But the continuation of strict immigration and quarantine controls has already harmed business. China-based staff in foreign multinationals have been unable to return to headquarters for knowledge sharing, training, and networking. Similarly, it has been difficult for employees of Chinese multinationals to venture out to forge personal connections and gain first-hand experience in local markets.

This disconnect has been compounded by the exodus of foreign talent. The European Chamber of Commerce in China estimates that up to half of European expatriates may have left China since the pandemic began. In May, 74% of respondents to a survey by the American Chamber of Commerce in China said zero-COVID measures had impeded their ability to attract or retain skilled foreign staff. A third said that senior executives or essential foreign workers had declined China assignments because of the latest COVID outbreak.

The family infrastructure that supports the international workforce is also eroding. The British Chambers of Commerce in China estimates that 40–60% of foreign schoolteachers will leave this year. Bilingual schools, which often enabled Chinese students to study abroad, have been hit by this teacher shortage, as well as a regulatory crackdown.

There have, however, been some benefits for local employees, who are being fast-tracked for promotion as multinationals are forced to accelerate localization and abandon the old model that saw key roles filled by foreign executives on short postings.

In January, Volkswagen announced plans to cut 30% of China-based expat employees over the next two to three years. A survey of EUCCC members in late April found that over the coming year, about 60% plan to localize staff at all levels. Apple, which before the pandemic booked 50 business-class seats to fly staff between San Francisco and Shanghai every day, now relies more on local engineers to solve problems.

¹⁵ First published on July 18, 2022 by the *Financial Times* and revised for this collection.

This localization reflects the expanding skill set and technical competence of Chinese workers. It may also enhance China's future economic dynamism, given that Chinese managers at multinationals often go on to join local companies or found their own businesses.

Further back in the pipeline, the pandemic and Beijing's policy response has also affected students. The closure of China's borders has emptied campuses of foreign students, who numbered almost half a million in 2018. This will set back the long-term internationalization of the country's workforce, given that over 60% of international students say they intend to work in China after graduation. I know that the Chinese embassy in the United States has helped international students return to China, and the Chinese embassy in France has also started to help French students come back.

The impact on outbound study has been more mixed. In 2020, many Chinese students delayed or changed plans to study overseas, but the demand for education abroad has since recovered. Since May 2021, the number of student visas issued to Chinese students to study in the United States has reached more than 90,000. And last year, the number of Chinese students in the UK returned to about the 2019 level, after a 32% plunge in 2020.

There is some evidence that the pandemic has reinforced longer-term trends for students to choose closer destinations—such as Hong Kong, Singapore, or Japan—or stay in China for postgraduate study. These patterns reflect a number of factors, including the rising quality of top Chinese universities, a declining salary premium for overseas education, and a growing perception that the West is hostile to Chinese students.

But domestic talent alone will not be enough for China's fast-growing market. At a national conference last September, President Xi Jinping stressed that efforts to cultivate homegrown talent “must not mean isolation” and emphasized “global appeal and competitive advantage.”

The body charged with this task is the National Immigration Administration, which for the past two years has been preoccupied with keeping the virus out of China. Once borders are fully open again, the agency will resume efforts to improve the immigration system and attract foreign workers. How eager they are to return only time will tell.

Japan Should Be Open to China Joining the CPTPP¹⁶

Japan's stewardship of the CPTPP presents it with a choice to either embrace or exclude China, should it support China's admission to the trade pact, it would see enormous economic gains for Japan's struggling economy.

In 2012, two US analysts penned an article in *Foreign Policy* headlined "A Tale of Two Asias," describing the continent's contrasting Jekyll and Hyde sides.

On the one hand, there is "Economic Asia," a vibrant, integrated region with an economy worth over \$30 trillion that is the most dynamic on Earth and an engine of global growth. On the other hand, there is "Security Asia," a fractious and increasingly militarized region riven by mistrust, nationalism, historical antagonisms, and territorial disputes.

Though crude, this dichotomy captures something of Tokyo's balancing act as it seeks to navigate a changing world. Like the rest of Asia, Japan is being pulled in two different directions as new trade pacts reinforce trends toward peaceful integration, even as growing security concerns cause friction in the region.

Japan has long been a driving force in forging a more integrated and prosperous economic Asia. It set up the Asian Development Bank in 1966 and gave development assistance to support China's reform and opening-up in the 1970s and 1980s.

After the Asian financial crisis in the late 1990s, Tokyo pushed for monetary integration measures that led to the Chiang Mai Initiative currency swap arrangements. More recently, Tokyo brought the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) to fruition after the United States pulled out and was a founding member of the Regional Comprehensive Economic Partnership (RCEP) trade deal.

In contrast, the forces pushing Japan to focus on security in Asia are never far away. Conservatives remain determined to amend the nation's pacifist constitution, and Tokyo has signed up to new security arrangements like the Quad and reciprocal access with Australia's defense forces.

Following Russia's invasion of Ukraine, Prime Minister Fumio Kishida has sought to reinforce ties with NATO and Washington to bolster Japan's security, and former Prime Minister Shinzo Abe has even raised talk of nuclear weapons and is agitating for a sharp increase in defense spending.

Balancing economic and security interests amid US-China competition will be Kishida's most important foreign policy task. This year, on the 50th anniversary of the normalization of ties with China, he faces several decisions that will set the tone for Tokyo's future relationship with Beijing. Perhaps the most significant is what stance to take on China's application to join CPTPP.

As he considers this question, Kishida should keep an open mind and draw on the legacy of the Kochikai faction he leads, which has traditionally emphasized economic diplomacy and healthy ties with China.

¹⁶ First published on April 26, 2022 by *Nikkei* and revised for this collection.

His current focus on narrow security alliances is understandable in the wake of the war in Ukraine. But in the long term, Japan's interests, both in terms of its domestic economy and long-term security, are best served by ensuring that Asia remains on a stable, rules-based track to become more integrated, more cohesive, and more prosperous.

CPTPP is an ideal vehicle to achieve this, and China appears increasingly ready to play ball. On February 3, Chinese customs announced that it would trial CPTPP rules in the nation's free trade zones. On March 1, Vice Minister of Commerce Wang Shouwen affirmed China's willingness to "fully meet" the high standards of the trade pact.

So far, Kishida's reception of Beijing's application has been tepid. But there are good reasons why Tokyo should be open to China joining the CPTPP.

First, it would support Kishida's domestic agenda to spur domestic growth and equality. Although Japan and China are both members of RCEP, the CPTPP goes much further with tariff reductions and trade facilitation. Including China would increase Japan's real income gains from CPTPP in 2030 by \$68 billion and quadruple worldwide income gains to \$632 billion a year, according to projections by the Peterson Institute for International Economics, a Washington-based think tank.

Since 2020, China has replaced the United States as the top destination for Japanese goods. Last year, exports of food, farm, forestry, and marine products to mainland China soared by 35.2%. Under CPTPP, Japanese farmers and workers would be ideally placed to benefit from the growing demand of China's massive middle class. There would also be benefits for Japanese multinationals, for whom China continues to be a crucial manufacturing hub.

Second, even before potential trade benefits come to fruition, accession negotiations could provide a platform for productive dialogue with China. This would widen Kishida's scope for diplomacy and support efforts to promote regional harmony.

Third, China's application to join the CPTPP is a one-off opportunity for Tokyo to exert influence and encourage what is soon to be the world's largest economy to evolve in line with the highest international standards.

These include behind-the-border issues such as economic, industrial, and environmental policies. As well as benefiting Japanese companies and energizing China's reforms to build a modern, open economy, this would also help alleviate wider trade tensions, including with the United States, creating a better global environment for Japan's development.

The CPTPP is one pathway to deeper integration and eventually realizing a Free Trade Area of the Asia-Pacific. But it is not the only one. If the CPTPP door is prematurely shut to China and other countries, momentum may shift to alternative tracks like RCEP. This would not be in Japan's interests, given that this would be a process geared toward lower standards over which Tokyo has less say.

For now, any prospect of China entering the CPTPP remains distant. Accession negotiations are bound to be long and arduous. Other members remain divided on China joining and unanimous consent is required for accession. There is also the thorny issue of Taiwan, which has applied to join despite Beijing's opposition.

Still, Japan has put itself in an advantageous position by taking up stewardship of CPTPP, and its stance on China's application will hold considerable sway. Moving forward, Tokyo should build on its achievements in helping to realize a thriving economic Asia and not allow hawkish voices to foreclose viable routes toward long-term stability and prosperity in the region.

Ushering in Innovative Policies in China to Embrace Global Talent¹⁷

China is working hard to attract international professionals and expand its global talent pool through better processes and new “green cards” that make China more attractive to experts in science, technology and other sectors.

Given the rampant COVID-19 pandemic, airline meltdowns, and the tightening of national travel policies that may occur from time to time, causing inconvenience and uncertainty between China and abroad. And talent flows in some fields will also be restricted and, to some extent, decoupled.

However, the global need for talent will become even stronger in the post-pandemic era, with countries scrambling to introduce new policies to attract talent. In order to change the situation that China has long been restricted to core technologies, the country needs to make greater efforts to attract the best in international talent.

In recent years, despite the political chaos in the United States, its talent system remains a strong magnet for the world’s top talent. A report titled *Doctorate Recipients from US Universities: 2020* states that since 2010, the intention of doctoral students to stay and work in the United States after graduation has been on the rise.

Through the 2020 academic year, 73 percent of doctoral students intend to stay and work in the United States. In the 2020 academic year, 90 percent of doctoral students from the Chinese mainland and Hong Kong Special Administrative Region are in Science & Engineering (S&E) fields, with fewer than 700 Chinese students in non-S&E fields, and more than 81 percent of doctoral recipients from the Chinese mainland intend to stay and work in the United States.

According to US statistics, 85,000 people from China received US study visas from May to August in 2021. More than 300,000 Chinese students are currently in the United States, remaining the number one source of talent in the United States.

It is worth noting that while the United States continues to attract and retain overseas scientific and technological talent, China has continued to lose foreign talent in recent years. The American Chamber of Commerce in China says that the number of foreign professionals in Shanghai has fallen from 208,000 to 163,000 over the last decade.

One of the pivotal reasons for the rapid rise of the United States after World War II was the large number of top international professionals in cutting-edge technology fields. At present, artificial intelligence, quantum technology, and genetic engineering are ultimately a competition for talent.

Therefore, the competition for talent also involves the ability to attract international talent. Given the current long and limited domestic talent training cycle, scientific and technological innovation opportunities are considerable, and attracting international talent is a more efficient way to achieve breakthroughs.

China has implemented many policies to attract international talent in recent years, such as setting up the National Immigration Administration and adjusting its Green

¹⁷ First published on January 18, 2022 by CGTN and revised for this collection.

Card policy. However, China needs to further deepen institutional reform, open our minds, improve supporting policies, and create a more open and inclusive, convenient and livable social environment.

Fortunately, the US-China Fast Track Travel Channel program has been in operation since January 7, 2022, which is expected to “provide a more efficient, predictable, and reliable channel for essential US company executives, technical personnel, and their dependents to enter China.”

The program is a glimmer of hope for China and the United States to improve the flow of people as COVID-19 continues to spread and also provides a reference for China to moderately liberalize international movement of people in the business sector with other countries.

Against the backdrop of regular COVID-19 prevention and control, local governments may consider the needs of international students and business people and provide more fast-track channels for eligible persons in due course. This will partly reflect the warmth of the city, as well as the professionalism and internationalization of its policy formulation and implementation in the face of the pandemic.

China can also provide greater policy incentives to attract the best international talent. The country has been providing a more open and equitable environment for international talent to innovate and start businesses, including easier visa application procedures, more comfortable residential options, expanded green card options, and an international living environment. The experiences of Beijing, Shanghai, Guangdong, Hong Kong, and Macao in reforming how they attract international talent can be replicated and promoted in other cities.

To further build an internationally competitive talent system, a direct overseas application channel for “green cards” can be piloted. At present, Chinese green cards are mainly issued to those who have been in the country for a certain period of time, which is not conducive to attracting talented foreigners, including overseas Chinese¹⁸ who wish to come to China to innovate and start businesses. Beijing can set up a pilot system for skilled migrants. Chinese embassies and consulates abroad may also set up immigration offices to provide information on China’s policies for attracting outstanding international talent.

High-skilled international professionals who want to develop their careers in China can now apply for permanent residence online. Restrictions on overseas Chinese returning to China should also be relaxed and the “Overseas Chinese Card” should be introduced as soon as possible to facilitate the application for long-term and permanent residence for outstanding overseas Chinese.

As global competition becomes more intense, China must fundamentally reform its science and technology sectors, no longer following trends, but leading them. China needs to be more proactive and open in seeking international talent, showing that it is open and accommodating, that it welcomes international professionals to China to innovate and build businesses. It should also continue to strengthen the links between China and the world.

¹⁸ The Chinese diaspora.

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